

and Adani Transmission more than halved in a matter of days, wiping off over \$100 billion in market capitalisation in the biggest stock rout Indian markets have seen, though the losses have been partially recouped.

“I am not surprised, since the Adani Group is heavily leveraged and the high debt is a cause for concern,” says Mark Mobius, the widely followed global investor and Founder of Mobius Capital Partners LLP. So much so that capital markets regulator Securities and Exchange Board of India (Sebi) has also got into action. “Sebi is already enquiring into both the allegations made in the Hindenburg report as well as the market activity immediately preceding and post the publication of the report, to identify violations of Sebi regulations...,” the regulator told the Supreme Court on February 13.

Questions now swirl around how the group would manage to salvage its reputation and service its staggering gross debt of ₹2.25 lakh crore. For Adani, who is used to lenders chasing him to fund his various projects, the changed circumstances are bound to pose serious challenges. How will Adani, a man perceived to be close to the ruling political dispensation, recover from this crisis? There is a lot at stake for his investors, joint venture partners, lenders and the family of shareholders. The coming weeks and months are expected to see the Adani story continue to play out as the embattled billionaire—who has dropped out of the global top 20 billionaires’ list (he was at No. 24 as of February 14)—struggles to keep his empire and investment plans, earlier estimated at \$107 billion over 9-10 years, on course. The question, then, is: where does the Adani Group go from here?

BONDS DUE FOR REPAYMENT

Company	Issued in	Amount	When due
Adani Green	May 2019	500	2024
Adani Green	Sep 2021	750	2024
Adani Ports & SEZ	Jul 2019	650	2024
Adani Transmission	Aug 2016	500	2026
Adani Ports & SEZ	Jun 2017	500	2027
Adani Ports & SEZ	Jul 2020	750	2027
Adani Enterprises	2022	750	2029
Adani Ports & SEZ	Jul 2019	750	2029
Adani Transmission	Feb 2020	1,000	2030
Adani International Terminal	Dec 2020	300	2031
Adani Ports & SEZ	Jan 2021	500	2031
Adani Transmission	Jul 2021	300	2031
Adani Ports & SEZ	Jul 2021	300	2032
Adani Transmission	Nov 2019	500	2036
Adani Green	Oct 2019	362.5	2039
Adani Ports & SEZ	Jul 2021	450	2041
Adani Transmission	Mar 2020	400	2050
Total		9,262.50	

AMOUNTS IN \$ MILLION **SOURCE** COMPANY, BT RESEARCH

THE \$100-BILLION-PLUS CAPEX PLAN

Project	Amount (\$ billion)
Green hydrogen	60
Airports	15-20
Data centres	10
Others	17-22

NOTES: (A) THIS WAS ANNOUNCED JUST BEFORE THE ADANI ENTERPRISES’ FPO
(B) THE CAPEX OUTLAY WAS FOR THE NEXT 9-10 YEARS **SOURCE** COMPANY, BT RESEARCH

THE KEY FOR the group is to strengthen the balance sheet and probably cut down on the number of projects... now is not the time to raise debt but to reduce it,” says Mobius, who generally advises investors to avoid heavily leveraged companies in a rising interest rate environment globally.

The other major issue is the limited retail holding in Adani Group stocks—the promoters hold anywhere between 57 per cent (in the recently acquired ACC) and 88 per cent (in FMCG major Adani Wilmar)—which Adani tried to partially correct through the FPO of Adani Enterprises. “They wanted to increase the public